

How to Use Your Rental Arbitrage Analyzer

SKU ACQ-003 • RENTAL ARBITRAGE ANALYZER

What this workbook does

Analyzes a master-lease (rental arbitrage) deal: you sign a long-term lease on a property, the landlord allows STR sublet, you list it on Airbnb / VRBO. Lower upfront capital than buying, but margins are thinner and lease-term risk is real.

The workbook computes monthly cash flow under realistic occupancy + ADR assumptions, includes an MTR (mid-term rental — 30+ day stays) fallback when STR underperforms, and stress-tests the deal under occupancy / rent / ban scenarios.

First-time setup (5 min)

1. Open tab **Lease Terms** — monthly rent, term (months), security deposit, deposit-on-broker amount, sublet permission language, exit clauses.
2. Tab **Setup Costs** — furnishings (use ACQ-002 if you have it), photography, software, insurance binder, STR registration.
3. Tab **Revenue Forecast — STR mode** — projected ADR + occupancy from AirDNA / Rabbu comps for the same zip + bed count.
4. Tab **Revenue Forecast — MTR fallback** — projected mid-term monthly rent (relocating professionals, traveling nurses). Workbook flips to this if STR ban or low-occupancy regime hits.
5. Tab **OpEx** — utilities, internet, software, supplies, cleaning per turn. (No mortgage, no property tax, no insurance on the building — that's your landlord's problem.)

Reading the outputs

- **Monthly cash flow under STR:** projected revenue – rent – OpEx. Target \$400+/mo per unit; under \$200 doesn't justify the work.
- **Monthly cash flow under MTR fallback:** the same property listed at 30+ day stays. If MTR cash flow is positive, the deal survives an STR ban.
- **Breakeven occupancy:** occupancy % needed to cover rent + OpEx. If breakeven is >65%, the deal is fragile.
- **Lease-term ROI:** total cash flow over the lease term ÷ setup costs.

When to walk on an arbitrage deal

- Breakeven occupancy >70%
- MTR fallback is negative (no Plan B)
- Sublet permission isn't in writing
- Lease term <24 months (not enough runway to recoup setup costs)
- Local STR regulations are pending — don't sign into a market that's about to ban you

At lease-signing

1. Get sublet permission **in writing in the lease**. Verbal doesn't count.
2. Keep a copy of the workbook with your lease — it's your underwriting record.
3. Set a calendar reminder for 90 days before lease end to re-run the workbook on renewal terms.

Questions?

hello@thestrledger.com — real humans, fast replies.

Upgrade path: Pair with the Cost-to-Launch Calculator (ACQ-002) for accurate setup-cost forecasting and the STR vs LTR Yield Comparison (ACQ-012) if you're comparing arbitrage to a buy.